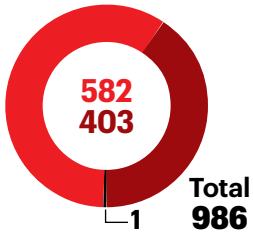
REGULATORY BURDEN

The growing compliance burden is a disincentive for many to even enter businesses. The story repeats itself across sectors

COMPLIANCES: Central State Municipal

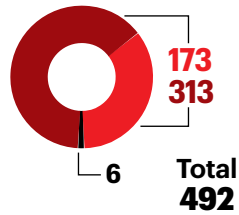
ALCOHOLIC BEVERAGES

Alcohol is a state subject. Even so, a new facility is required to obtain 100-plus licences from central, state and municipal authorities



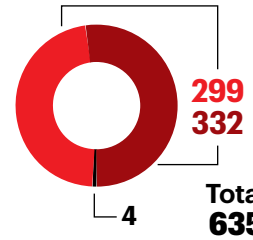
AUTOMOTIVE

Factory licence, shop and establishment registration, certification and standardisation.... Apart from high costs incurred, these lead to delays



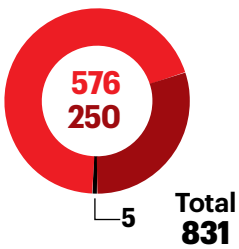
CHEMICALS

Preventing a large-scale mishap is paramount. But multiplicity of compliances only increases the drag on the system



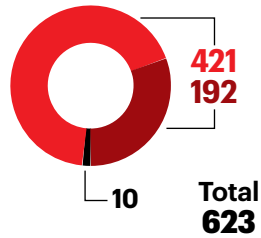
FMCG

An FMCG business has to get separate licences for every unit wherein it manufactures, stores or sells food items



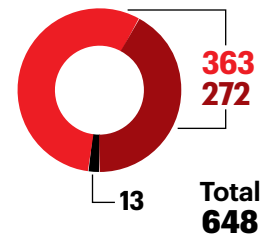
HOSPITALS

Each hospital has to obtain close to 100 certificates, licences, permits under at least 58 Acts/ rules at various stages of business



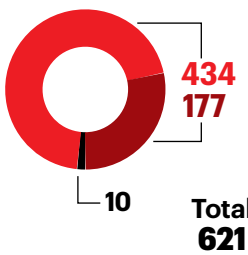
LOGISTICS

Even a firm with a single corporate office and a single branch office in just one state must obtain 84 one-time permissions



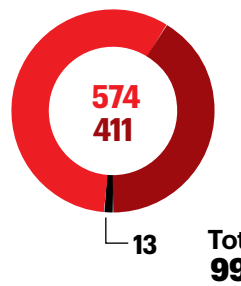
NBFCs

They have to stay abreast with over 35 one-time approvals within a single state besides ongoing compliances at central, state and local level



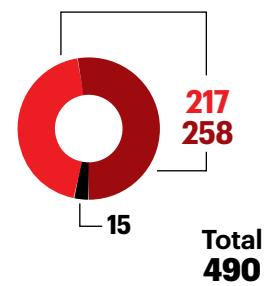
PHARMA

A pharma firm faces 70-odd one-time registrations and approvals besides ongoing compliances at each stage of production



RETAIL

A retail chain with, say, a presence in six cities and across two states will have to keep track of 3,182 compliances



Source: TeamLease RegTech



SUMIT KUMAR

INDIA VS CHINA

Except in construction permits, China scores much higher in the ease of doing business parameters

Days to start a business 16.5 / 8.6	Days to get a construction permit 94.8 / 155
Days to register property 69 / 9	Days to enforce contracts 1,445 / 496
Hours to file taxes each year 275 / 142	Years in resolving insolvency 4.3 / 1.7
Days to get electricity 55 / 34	India China

Source: International Journal of Management, IT & Engineering